



MICROECONOMICS

REVENUE

Chapter 7 | Lecture 1

MICRO

1

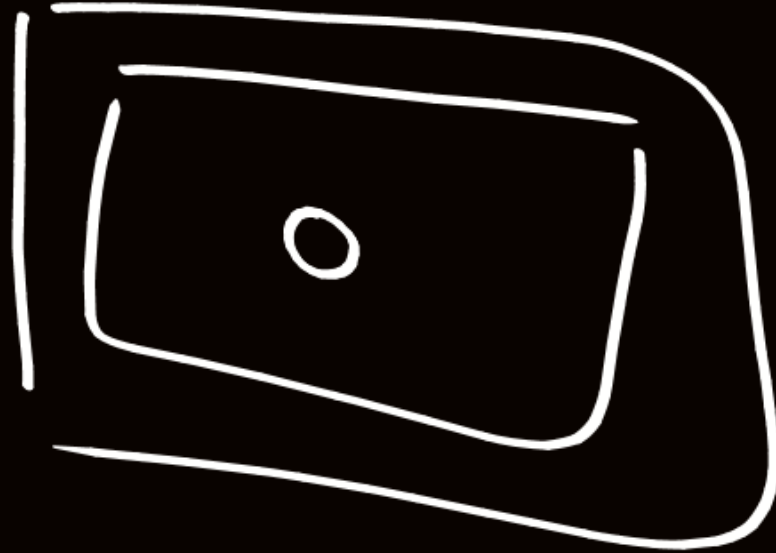
- 7 Revenue → ②
- 8. Produ. Eq. → ①
- 9. Supply → 4
- 10 Main Market → ①
- 11 Price Determination → ③

Mean
Mode & Median
Correlation
Index No.

Revenue

Profit - Exp

Revenue = Qty Product x Price



MEANING OF REVENUE

Revenue refers to the amount received by a firm from the sale of a given quantity of a commodity in the market.

₹10k

1000

$\times ₹10 \rightarrow 1 \text{ Glass Nimbu Soda}$



TU

MU

TP

MP

AP

* Price = AR

TC

MC

AC

TR

MR + (1 product_{sell})

AR

Qty x Price

|| = TR ||

$$2000 \times 100 = \boxed{200000}$$

① $TR_n - TR_{n-1}$ + Revenue?

② $\frac{\Delta TR}{\Delta Q}$

$$\frac{\text{Total Revenue}}{\text{Qty}} = AR$$

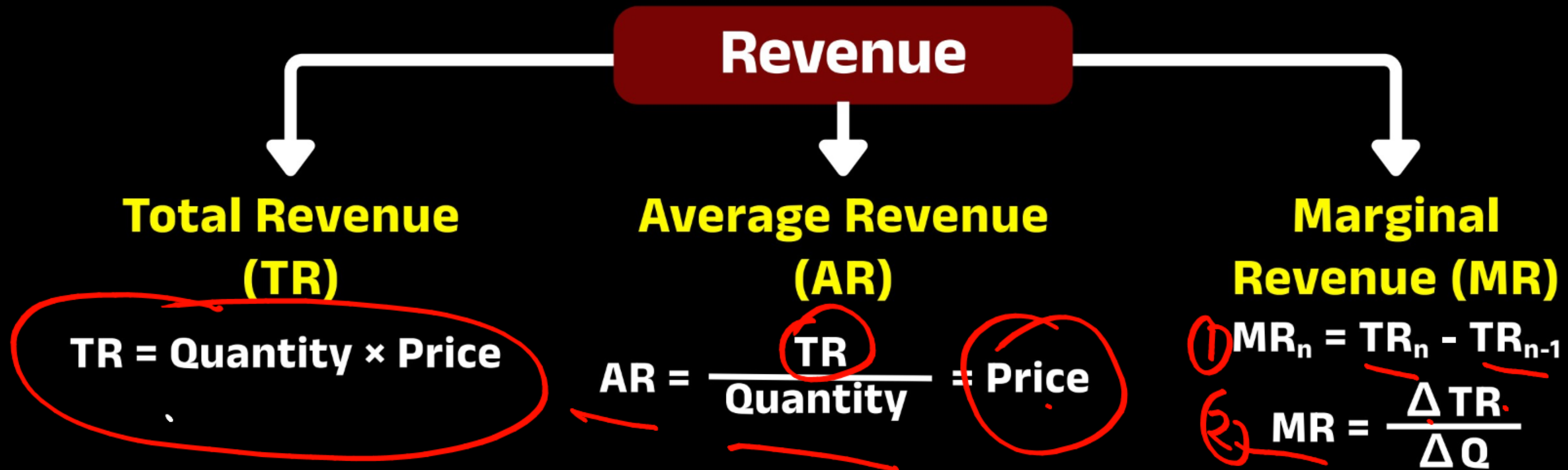
$$TR = \frac{200000}{2000} = \boxed{100 AR}$$

V.T.ump

2min

Chapter Name	Lecture	QTP	Test	One Page	Notes	One Shot	Rapid Revision
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒	☒	☒	☒	☒	☒	☒
	☒ </						

RELATIONSHIP BETWEEN REVENUE CONCEPTS



COST OF REVENUE

Important Terms

Total Revenue (TR) - Total Revenue refers to total receipts from the sale of a given quantity of a commodity.

$$TR = \text{Quantity} \times \text{Price}$$

14th Feb



2,000 ~~30~~ TEDDY BEARS

×



₹ 100

=



₹ 2000.00 ✓

COST OF REVENUE

Important Terms

Average Revenue (AR) - Average revenue refers to revenue per unit of output sold.

$$AR = \frac{TR}{\text{Quantity}} = \text{Price}$$



$$\frac{\text{Total Revenue}}{\text{Quantity}} = \frac{₹ 600}{12} = ₹ 50$$

$\frac{600}{12} = 50$
AR or Price = ₹ 50
1 Kinder Joy

AR = Price

AR Curve and Demand Curve are the Same

COST OF REVENUE

Important Terms

Marginal Revenue (MR) - Marginal revenue is the additional revenue generated from the sale of an additional unit of output.

$$MR_n = TR_n - TR_{n-1}$$

Where,

MR_n = Marginal Revenue of n^{th} unit;

TR_n = Total revenue from n units;

TR_{n-1} = Total revenue from $(n-1)$ units;

n = Number of units sold



COST OF REVENUE

One More way to Calculate MR

$$\text{MR} = \frac{\text{Change in Total Revenue}}{\text{Change in number of units}} = \frac{\Delta \text{TR}}{\Delta Q}$$



$$\text{MR} = \frac{\text{₹}(7.5 - 6) \text{ LAKH}}{5 - 4} = \text{₹} 1.5 \text{ LAKH}$$

1.5 Lakh

TR, AR and MR

Units Sold (Q)	Price (₹) (P)	Total Revenue (₹) $TR = Q \times P$	Average Revenue (₹) $AR = TR \div Q = P$	Marginal Revenue (₹) $MR_n = TR_n - TR_{n-1}$
1	10	$10 = 1 \times 10$	$10 = 10 \div 1$	$10 = 10 - 0$
2	9	$18 = 2 \times 9$	$9 = 18 \div 2$	$8 = 18 - 10$
3	8	$24 = 3 \times 8$	$8 = 24 \div 3$	$6 = 24 - 18$
4	7	$28 = 4 \times 7$	$7 = 28 \div 4$	$4 = 28 - 24$
5	6	$30 = 5 \times 6$	$6 = 30 \div 5$	$2 = 30 - 28$
6	5	$30 = 6 \times 5$	$5 = 30 \div 6$	$0 = 30 - 30$
7	4	$28 = 7 \times 4$	$4 = 28 \div 7$	$-2 = 28 - 30$

Units Sold	TR	$\frac{TR}{Q}$ AR	MR
1	20	20	20
2	36	18	16
3	48	16	12
4	56	14	8
5	60	12	4
6	60	10	0
7	56	8	-4

Sales
0

TR
0

Output	AR=Price	MR	TR
1	16	16	16
2	12	8	24
3	10	6	30
4	7	-2	28

Units Sold	AR = Price	TR	MR
①	25	25	25
2	23	46	21
3	21	63	17
4	19	76	13
5	18	90	14
6	15	90	0

$$20 \times u = 80$$

$$\frac{80}{4} = 20$$



$$TR = Qty \times Price$$

$$MR = TR_n - TR_{n-1}$$

sale
0

TR
0

1000

$$\frac{100}{100}$$

$$25 - 0 = 25$$

$$46 - 25 = 21$$

$$63 - 46 = 17$$

Output	AR=Price	TR	MR	Sales O.	TR O.
1	10	10	10		
2	9	18	8		
3	8	24	6		
4	7	28	4		

$$18 - 10 = 8$$

$$24 - 18 = 6$$

$$24 + 4 = 28$$

$$\frac{24}{8}$$

$$\frac{28}{4}$$

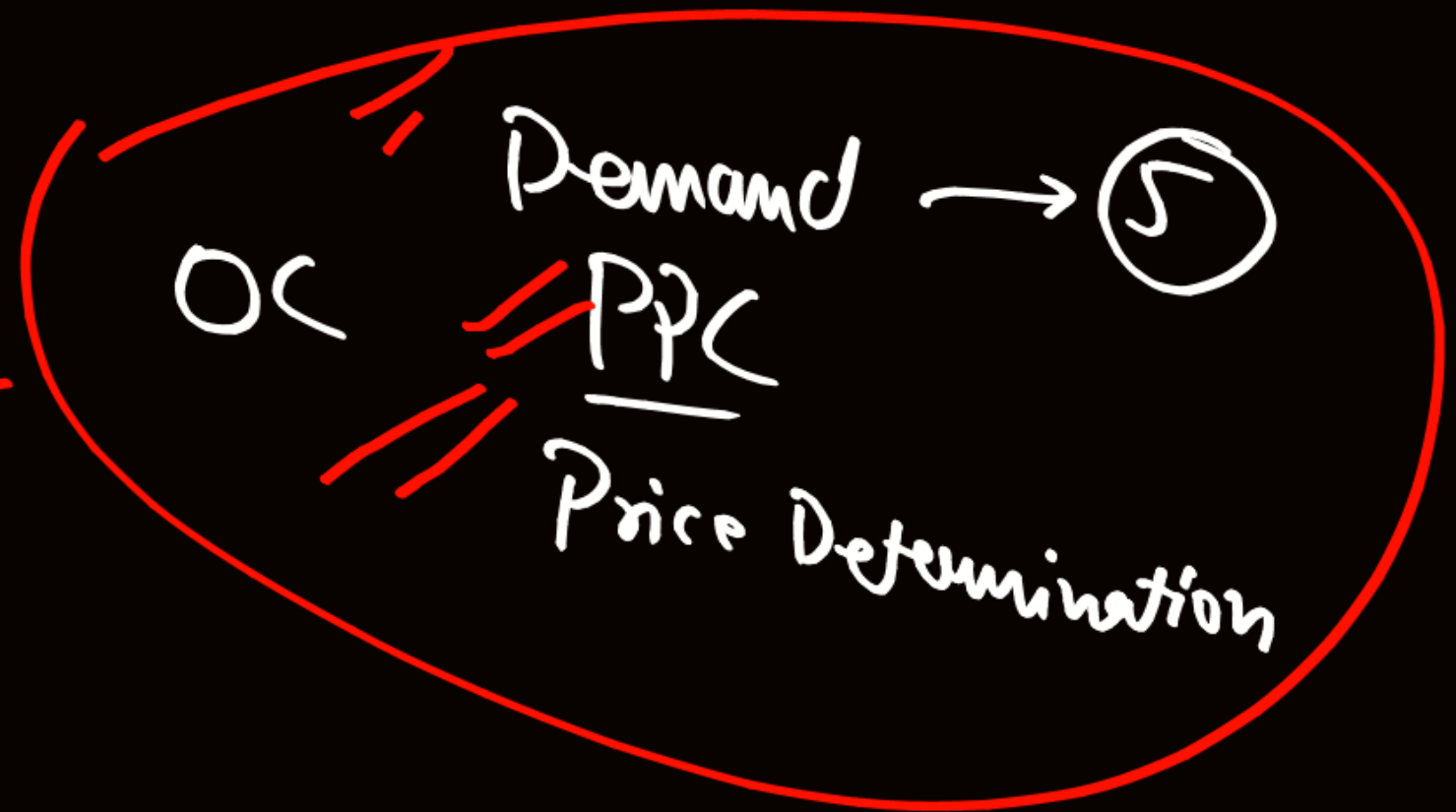
q^{th}

Palampur ~~X~~

q^{th}

11^{th}

↓
 E_{co}



DOUBT



**THANK
YOU**

Stay Connected

KEEP LEARNING